

INTERNATIONAL news

Renesas completes \$9.1 billion acquisition of Altium

Renesas Electronics has acquired Altium Limited, valued at approximately \$9.1 billion. This acquisition, finalised on February 15, 2024, allows Renesas to leverage Altium's embedded system software to create an advanced electronics system design and lifecycle management platform. This new platform, now a wholly-owned subsidiary, aims to enhance productivity, reduce inefficiencies, and make electronics design more accessible across various industries.

US partners with SK Hynix to strengthen domestic AI supply chain

The US Department of Commerce and SK Hynix have signed a preliminary agreement to invest up to \$450 million under the CHIPS and Science Act. This investment will fund an advanced packaging plant and R&D facility in Indiana for artificial intelligence products. The project, which will create about 1000 jobs, complements SK Hynix's \$3.87 billion investment in the region.

Amazon AI chips to replace NVIDIA processors

Amazon is developing proprietary AI chips to cut dependence on NVIDIA's expensive processors used in Amazon web services (AWS). Engineers in Austin are testing a new server design featuring these chips, which could reduce costs by up to 50% compared to NVIDIA's solutions. This initiative aims to provide more affordable options for complex computations and data processing, meeting the rising demand for cost-effective alternatives.

TSMC raises revenue forecast, rejects joint venture for US factory

Due to surging AI chip demand, Taiwan Semiconductor Manufacturing Company (TSMC) raised its annual revenue growth forecast to mid-20%. TSMC rejected a joint venture proposal for a US factory, choosing to continue its independent expansion. The company is investing \$65 billion in Arizona and expanding in Japan and Germany.

AMD to acquire ZT Systems with \$4.9 billion for AI enhancement

AMD will invest \$4.9 billion to acquire ZT Systems, adding 1000 cloud data engineers and enhancing its AI infrastructure capabilities. The acquisition aims to boost AMD's hyperscale reach and accelerate GPU deployments. Closing in early 2025, the deal will integrate ZT's engineering but seek a partner for its data centre manufacturing business.

SEMI Europe urges EU to ease investment curbs

SEMI Europe has requested the EU to ease restrictions on outbound investments by European semiconductor firms in foreign chip technology. In a recent paper, SEMI Europe highlighted that strict policies could hinder companies' flexibility and competitiveness. The organisation criticised proposed regulations for being too broad and potentially disclosing sensitive information. The EU is also reviewing laws on inbound foreign investments and national security.

EU approves Hewlett Packard's \$14 billion Juniper deal

The European Union has approved Hewlett Packard Enterprise's \$14 billion acquisition of Juniper Networks, finding no significant competitive issues in the wireless LAN, Ethernet switches, or data centre markets. The deal will combine Hewlett Packard's

Aruba Networking with Juniper's products, enhancing their market position. The UK's Competition and Markets Authority is reviewing the merger.

TSMC to begin construction of fab in Germany

Taiwan Semiconductor Manufacturing Company (TSMC) is set to begin building its new European Semiconductor Manufacturing Corporation (ESMC) fab in Dresden, Germany through an inauguration ceremony. The \$10.8 billion facility, with contributions from Infineon, Bosch, and NXP, is set to start operations by late 2027. It will handle advanced processes and achieve a monthly capacity of 40,000 wafers.

Nefab opens second chip packaging facility in Malaysia

Nefab, a Swedish packaging provider, has launched a new semiconductor packaging plant in Batu Kawan, Malaysia, of about 2370 square metres, set to begin operations in 2025. The facility will focus on eco-friendly packaging and feature a cleanroom, an engineering design centre, and an ISTA-certified lab. This expansion, creating up to 50 jobs, aligns with Nefab's commitment to sustainable manufacturing and resource conservation in the Asia-Pacific region.

Panasonic to end fluorescent lamp production by 2027

Panasonic will terminate fluorescent lamp production by 2027, concluding a 70-year era due to a global ban on mercury-containing lamps. The company will focus on LED production but will meet Japan's demand for fluorescent lamps until then. The transition to LEDs, urged by Japan, aims to cut lighting electricity usage by 2030.

NVIDIA approves Samsung's 8-layer HBM3E chips

Samsung's fifth-generation HBM3E chips have passed NVIDIA's tests for AI processors, marking a significant advance in memory technology. This approval is crucial as Samsung seeks to catch up with SK Hynix in the AI memory market. While Samsung's 12-layer HBM3E chips are still under review, the eight-layer versions are expected to begin shipping by Q4 2024. SK Hynix and Micron also supply similar chips.

Design issues may delay NVIDIA's Blackwell AI chip launch

NVIDIA's new Blackwell AI chip may face a three-month delay due to design issues, impacting major clients like Meta, Google, and Microsoft, who have placed orders. Despite the setback, NVIDIA's older Hopper chips are in high demand, filling the gap and overall production remains on schedule for the latter half of the year.

Intel cuts 15,000 jobs, BelGan files for bankruptcy

Intel plans to cut 15,000 jobs, about 15% of its workforce, to save \$10 billion following weak financial results, including a \$1.6 billion Q2 loss. Concurrently, Belgian firm BelGan has filed for bankruptcy amid a costly site transformation due to cash shortages. Both companies' crises underscore the sector's financial instability and intense competition.

Infineon announces layoff, lowers revenue forecast

Due to a revenue shortfall, Infineon will cut 1400 jobs and relocate another 1400, leading to a reduced annual forecast of 15 billion euros. The German chipmaker reported a 9% decline in third-quarter revenue to 3.702 billion euros, missing expectations. Despite a 6% initial share drop, shares rose 0.8% as analysts noted better segment results and positive fourth-quarter forecasts.